

NextEra Energy, Inc.

NEE NYSE

Buy \$86.12 ▲ 0.15% 12M Price Target \$98.00 52-Week Range \$67.20 – \$98.75

Market Cap \$179.61B

NEE: Reiterate Buy; Dominion Deal Reshapes Utility Landscape

WHAT'S CHANGED

- Dominion acquisition narrative dominates the tape: Simply Wall St. (6/13) and Motley Fool (6/11) frame the \$67B deal as a transformative data-center + renewables combination, with sell-side speculating on follow-on utility M&A.
- Tape firming: NEE up ~1.5% over five sessions to \$86.12 (60% of 52-week range) on declining volume (12.2M → 7.3M), consistent with absorption rather than distribution; near-term call flow skewed bullish (P/C 0.38, \$87 strike calls 4.7x OI).

IMPLICATIONS

The Dominion transaction repositions NEE from a pure-play renewables developer into the dominant integrated platform serving hyperscaler data-center load growth in the PJM and Southeast footprints — a structurally higher-growth rate base than the legacy FPL-only mix. Utilities ETF up only +0.47%/+2.80% (1D/5D) versus Tech +3.78%/+4.13% suggests NEE's outperformance is idiosyncratic deal-driven rather than sector rotation, which is constructive: institutional bid (86.9% ownership, BlackRock/Vanguard/SSGA combined ~20.8%) is absorbing supply ahead of regulatory milestones. Bullish options skew and unusual \$87 strike call activity into June expiry indicate smart money positioning for upside continuation through deal-related catalysts.

VALUATION

At \$86.12, NEE trades at ~23.6x FY26E EPS and ~14.2x EV/EBITDA, a premium to the regulated utility median (~18x P/E, ~11x EV/EBITDA) but justified by mid-to-high single-digit rate-base CAGR, the Dominion synergy runway, and unmatched renewables development scale. Our \$98 PT (~14% upside) reflects 27x FY26E EPS, supported by data-center demand visibility; multiple expansion driver is deal close + accretion confirmation, contraction risk is FERC/state PUC pushback or financing cost creep.

KEY RISKS

- Regulatory/antitrust delay or conditions on the Dominion close that erode synergy NPV or force divestitures.
- Funding mix risk — a \$67B deal likely requires equity issuance; dilution could pressure shares near term.
- Interest-rate sensitivity: utility multiples compress if 10Y yields move meaningfully higher, independent of fundamentals.

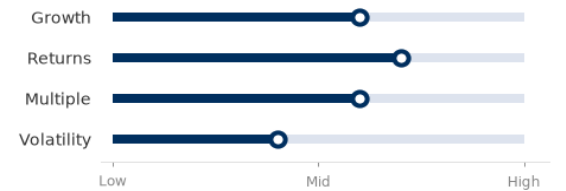
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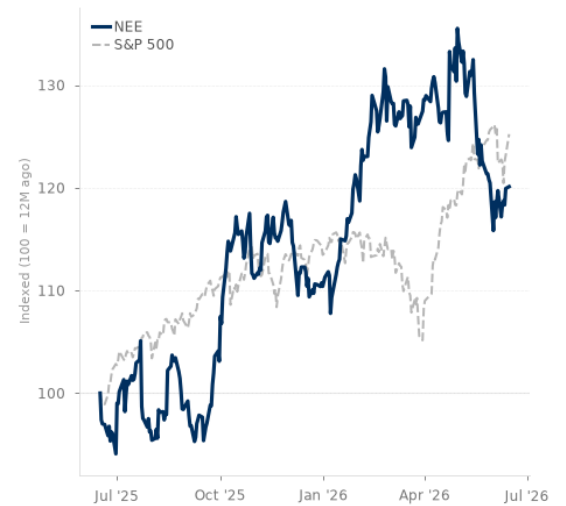
Key Data

Price (USD)	\$86.12
12M Price Target	\$98.00
Upside / (Downside)	+13.8%
Market Cap	\$179.61B
FY2026E Revenue	\$28,500M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.65
FY2027E EPS	\$4.05
Fwd P/E	23.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$92.00	\$88.00	\$80.00
6 Months	\$100.00	\$92.00	\$78.00
1 Year	\$110.00	\$98.00	\$75.00
2 Years	\$130.00	\$112.00	\$70.00
5 Years	\$175.00	\$145.00	\$85.00
10 Years	\$260.00	\$200.00	\$100.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Materials

COLD SECTORS: Communication Services, Utilities (relative)

ROTATION WATCH: Tech-led tape (+3.78% 1D) with Materials (+5.08% 5D) signals risk-on; utilities lagging suggests NEE outperformance must come from deal narrative, not beta.

BYPRODUCT PLAY: AI/data-center power demand is the dominant secondary trend — independent power producers (VST, CEG), grid equipment (GEV, ETN), and uranium/nuclear fuel cycle names benefit from the same load-growth thesis driving NEE-Dominion.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): nuclear baseload PPAs with hyperscalers driving sustained premium multiple vs. regulated utility peers.
- VST (Vistra): merchant power leverage to PJM data-center demand producing best-in-class total return YTD.

NEE CONTEXT: NEE at 60% of 52-week range is participating but not leading the AI-power trade; the Dominion deal is the mechanism by which NEE closes the relative gap to merchant peers, transforming it from a pure renewables story into a hybrid load-growth + rate-base compounder.

INVESTMENT STRATEGY

8/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$82-85 on consolidation

Time Horizon: 12-24 months

Thesis Invalidation: Dominion deal regulatory block or >15% rate-base earnings reset

Hedging: Long XLU / short NEE pair or protective \$80 puts 6mo out